Indonesia Trade
ANALYSIS

Exploratory Data Analysis & Supply Chain Implication

FY 2019–2024

March 2026

$674B+	37.4%	+$124B	30%+
Total Trade Value 2019–2024 (USD M est.)	Nickel CAGR 2019–2024	Cumulative Trade Surplus 2019–2024	China's Share of Indonesian Trade

Trade statistics from BPS-Statistics Indonesia, UN Comtrade, and the World Bank Trade Database 2019-2024.

EXECUTIVE SUMMARY

This report presents an Exploratory Data Analysis (EDA) of Indonesian international trade flows spanning FY2019 to FY2024. Drawing on a structured dataset of 264 trade records covering 12 commodity groups and 15 trading partners, the analysis identifies four structural patterns with material implications for regional and global supply chains.

Indonesia occupies a critical upstream position in several of the world's most strategically sensitive supply chains — from energy (coal) and agricultural commodities (palm oil) to the emerging clean-energy supply chain (nickel for EV batteries). Understanding the structure and dynamics of Indonesian trade flows is therefore not merely an academic exercise but a practical necessity for any supply chain professional operating in the Asia-Pacific region.

Four Key Findings:

1. **Commodity Concentration Risk**
   Three commodities — Coal, Palm Oil, and Nickel Products — account for over 75% of total export value, creating severe price-driven volatility in Indonesia's trade balance.

2. **China Bilateral Dependency**
   China represents 30–35% of both Indonesian exports and imports, creating a structurally asymmetric dependency with significant geopolitical exposure.

3. **Post-COVID Commodity Supercycle**
   The 2021–2022 period saw a 58% surge in total export value, driven primarily by commodity price inflation rather than volume growth — a distinction critical for supply chain planning.

4. **Structural Value-Chain Imbalance**
   Indonesia consistently exports raw materials at low margin and imports finished goods at high margin, reflecting its locked position in the lower rungs of global value chains.

BACKGROUND — INDONESIA'S TRADE ARCHITECTURE

Indonesia is the world's fourth most populous nation and Southeast Asia's largest economy. Its trade profile is shaped by an exceptionally rich endowment of natural resources — the country holds the world's largest reserves of nickel, is the top global producer of palm oil and the second-largest producer of coal, and maintains significant reserves of rubber, crude oil, and tropical agricultural commodities.

This resource endowment has historically positioned Indonesia as an upstream commodity exporter in global value chains — supplying raw and semi-processed materials to manufacturing-intensive economies in East Asia (China, Japan, South Korea) while importing finished goods, electronics, and industrial machinery in return.

Trade Structure at a Glance (2024 estimates):

Category	Key Commodities	Top Partners	USD M (2024 est.)	YoY Change
Exports — Energy	Coal, Crude Oil	China, India, Japan	~15,000	-15% (price normalisation)
Exports — Agriculture	Palm Oil, Coffee, Rubber	India, EU, China	~10,500	+5%
Exports — Minerals	Nickel Products	China, Japan, South Korea	~22,990	+10% (EV demand)
Imports — Technology	Electronics, Machinery	China, Japan, Germany, USA	~18,520	+8%
Imports — Energy	Petroleum Products	Singapore, Malaysia, Saudi Arabia	~8,380	+7%
Imports — Agriculture	Wheat, Chemicals, Steel	Australia, China, Japan	~9,770	+4%

A critical structural observation: Indonesia's export basket is dominated by commodities with high volume but variable unit pricing, while its import basket consists of goods with stable, high unit value. This creates asymmetric terms-oftrade exposure — when commodity prices fall (as in 2023–2024), Indonesia's trade surplus narrows significantly, while import costs remain relatively sticky.

METHODOLOGY & DATASET

Dataset Construction. The dataset used in this analysis comprises 264 records representing annual bilateral trade flows between Indonesia and 15 trading partners across 12 commodity groups from 2019 to 2024. Values are denominated in USD millions. Volume is expressed in thousands of metric tonnes (kMT) and derived from trade value divided by estimated unit prices, which are sourced from commodity market indices modelled on World Bank Pink Sheet data.

EDA Workflow Applied:

Step 1 — Data Profiling	Column-level inspection of data types, null rates, unique value counts, and value ranges to identify data quality issues before analysis.
Step 2 — Univariate Analysis	Frequency distributions, descriptive statistics (mean, median, standard deviation, percentiles) for each numeric and categorical variable independently.
Step 3 — Bivariate Analysis	Cross-tabulation matrices for commodity × partner trade values; identification of concentration patterns and partner-commodity dependencies.
Step 4 — Time Series Analysis	Year-on-year growth rates, CAGR calculations, and trend identification for key commodity groups over the 2019–2024 period.
Step 5 — Trade Balance	Computation of trade surpluses and deficits by partner and commodity to identify structural imbalances and exposure points.
Step 6 — Synthesis	Cross-cutting analytical insights derived from the combined findings of all preceding steps, translated into supply chain implications.

KEY FINDINGS

FINDING 1 · COMMODITY CONCENTRATION RISK

Analysis of the trade value distribution by commodity reveals that Indonesia's export portfolio is highly concentrated. Coal, Nickel Products, and Palm Oil collectively dominate export revenues, with the remaining three export commodities (Rubber, Crude Oil, and Coffee) contributing materially smaller shares.

Commodity	Total 2019–24 (USD M)	Share of Exports	2019 Value	2024 Value	CAGR
Coal	153,530	~33%	24,730	24,490	-0.2%
Nickel Products	82,510	~18%	4,860	22,990	+37.4%
Palm Oil	73,700	~16%	12,940	14,120	+1.8%
Crude Oil	22,660	~5%	6,380	5,140	-4.2%
Rubber	12,540	~3%	3,470	3,650	+1.0%
Coffee	2,728	~1%	758	976	+5.2%

Supply Chain Implication: Any multinational sourcing raw materials from Indonesia carries implicit commodity price risk. The 2022 coal price spike (>$300/MT vs $65 in 2020) illustrates how quickly cost structures can shift when a key input commodity is this concentrated in a single supply origin. Diversification of supply sources for coal, palm oil derivatives, and nickel precursors is a strategic imperative for resilient procurement.

KEY FINDINGS · 2

FINDING 2 · CHINA BILATERAL DEPENDENCY

China's role in Indonesia's trade structure is structurally dominant on both sides of the ledger. As the top destination for Indonesian coal and nickel exports, and as the primary source of imported electronics and machinery, China represents an approximate 30–35% share of Indonesia's total bilateral trade value across the 2019–2024 dataset period.

Direction	Key Commodities	Estimated Total (USD M)	Share of Total
Indonesia → China	Coal, Nickel, Palm Oil, Rubber	~147,000	~33% of exports
China → Indonesia	Electronics, Machinery, Steel, Chemicals	~98,000	~30% of imports
Net Balance	Indonesia surplus	~49,000	Positive but narrowing

The relationship is structurally complementary but asymmetric: Indonesia supplies raw and primary commodities; China supplies capital goods and consumer electronics. This means that when China's industrial output slows (as it did intermittently in 2023), Indonesian export revenues fall — while the import bill for Chinese-manufactured goods remains relatively stable.

Supply Chain Implication: The China-Indonesia commodity corridor is one of the world's highest-volume bilateral commodity trade relationships. Disruption scenarios — geopolitical tension, trade sanctions, or a Chinese demand shock — would reverberate through nickel, coal, and palm oil supply chains globally. Procurement teams sourcing these commodities must stress-test their exposure to this bilateral relationship.

KEY FINDINGS · 3

FINDING 3 · POST-COVID COMMODITY SUPERCYCLE (2021–2022)

The 2021–2022 period represents a structural break in the dataset. Total Indonesian export value grew approximately 58% from its 2020 trough to its 2022 peak. However, decomposing this growth into price and volume components reveals that commodity price inflation, not volume growth, was the dominant driver.

Commodity	2020 Unit Price	2022 Unit Price	Price Change	Value Change	Volume Change (est.)
Coal	$65/MT	$340/MT	+423%	+178%	Modest
Nickel	$14,000/MT	$26,000/MT	+86%	+165%	+Moderate
Palm Oil	$731/MT	$1,420/MT	+94%	+72%	Flat
Crude Oil	$390/MT	$880/MT	+126%	+91%	Flat/Decline

This distinction is analytically critical. A trade value increase driven by price is fundamentally fragile — prices mean revert, particularly for bulk commodities. The 2023–2024 data confirms this: as coal prices normalized to approximately $130/MT by 2024 and nickel prices declined from their $26,000 peak, Indonesian export revenues contracted substantially despite relatively stable physical volumes.

Supply Chain Implication: Supply chain cost models built on 2021–2022 commodity prices were significantly overstated and required rapid repricing. This underscores the importance of price-volume decomposition in any trade flow analysis used for procurement planning. Analysts should model commodity costs using long-run average prices, not supercycle peaks, as their baseline scenario.

KEY FINDINGS · 4

FINDING 4 · STRUCTURAL VALUE-CHAIN IMBALANCE

Indonesia's trade balance analysis reveals a consistent structural pattern: surpluses with commodity-importing nations paired with deficits with technology-exporting nations. This reflects Indonesia's enduring position in the lower value added tiers of global production networks.

Partner	Trade Position	Key Driver	Indonesia's Role
India	Strong Surplus	Palm Oil exports	Primary commodity supplier
Japan	Surplus	Coal, LNG exports	Energy supplier
South Korea	Surplus	Coal, Nickel	Industrial input supplier
China	Surplus	Nickel, Coal, Palm Oil	Commodity supplier
Germany	Deficit	Machinery imports	Capital goods buyer
USA	Near-balanced	Rubber vs Electronics	Mixed

The technology import bill is effectively the structural constraint on Indonesia's current account. Electronics and Machinery together account for approximately 40% of total import value — and the value per kilogram of these imports is orders of magnitude higher than the value per kilogram of Indonesia's raw commodity exports. This terms-of-trade gap is the defining economic challenge of Indonesia's development trajectory.

SUPPLY CHAIN IMPLICATIONS

Supply Chain Implication: Indonesia's government is actively pursuing downstream processing policies — the 2020 nickel ore export ban being the most prominent — to force value-added processing onshore. This is reshaping global nickel supply chains as Chinese and Korean battery manufacturers have relocated smelting operations to Indonesia. Analysts monitoring EV supply chains must track Indonesia's evolving industrial policy as a primary determinant of global nickel and battery-grade materials availability.

The four findings above converge on a set of structural supply chain implications that extend well beyond Indonesia's borders. For logistics professionals, procurement analysts, and supply chain strategists operating in the Asia-Pacific region, the following themes are the most operationally significant.

The Nickel-EV Supply Chain Bottleneck

Indonesia holds approximately 42% of the world's identified nickel reserves. The rapid rise in nickel export values — a 374% CAGR over the analysis period — reflects the global automotive industry's scramble to secure battery-grade nickel for EV production. Global automakers (Toyota, Volkswagen, Hyundai, Tesla) are increasingly dependent on Indonesian nickel supply. Any disruption — policy change, environmental regulation, or processing capacity constraint — creates an immediate bottleneck for the global EV supply chain. Indonesia's decision to ban raw nickel ore exports has already forced significant supply chain restructuring, with HPAL (high-pressure acid leaching) processing plants now being built in Sulawesi and Maluku with Chinese and Korean capital.

Palm Oil's Role in Food and Industrial Supply Chains

Indonesia produces approximately 60% of the world's palm oil. As the dataset shows, India and the EU are the primary destinations. Palm oil is present in an estimated 50% of packaged consumer goods globally — from food products to cosmetics to biofuels. Supply chain disruptions in Indonesian palm oil (weather events, export restrictions, or labour issues in Kalimantan and Sumatra) therefore propagate immediately through global FMCG supply chains. The 2022 export ban (applied briefly by the Indonesian government to stabilise domestic cooking oil prices) demonstrated exactly this dynamic: global palm oil prices spiked within days, affecting food manufacturers worldwide.

Coal's Declining but Still Critical Role

Despite the global energy transition narrative, Indonesian thermal coal remains structurally important to several Asian economies — particularly India, the Philippines, and parts of Southeast Asia — where coal-fired power generation is not expected to be phased out until the 2040s. The 2022 coal supercycle spike illustrates how geopolitical events (Russia-Ukraine war disrupting European coal supply) can create unexpected demand shocks that ripple through Indonesian export volumes and regional freight rates. Logistics planners in bulk commodities must model Indonesian coal availability as a key swing factor in Asian energy supply chains.

Port Infrastructure and Freight Rate Exposure

Indonesia's trade is almost entirely sea-freight dependent. The country's archipelagic geography — spread across 17,000 islands — means that inter-island logistics is a structural cost challenge. Tanjung Priok (Jakarta), Tanjung Perak (Surabaya), and Belawan (Medan) handle the vast majority of international freight. Congestion at these ports during high-volume periods (post-harvest palm oil, coal loading seasons) translates directly into higher freight rates and delivery delays that cascade through downstream supply chains. Procurement teams sourcing from Indonesia should build seasonal logistics lead-time buffers into their planning cycles.

RECCOMENDATIONS

The following recommendations are directed at three categories of stakeholder: supply chain analysts, procurement professionals, and trade policy researchers.

For Supply Chain Analysts

- Build commodity price sensitivity models that stress-test supply chain costs at 50%, 100%, and 200% of current commodity price baselines — the 2022 data demonstrates these are not tail risks.
- Incorporate price-volume decomposition as a standard step in any trade value trend analysis. A 50% rise in trade value driven by price is a very different signal than one driven by volume.
- Track Indonesia's downstream processing policy agenda (nickel, bauxite, copper) as the primary indicator of future supply chain restructuring in critical minerals.
- Monitor Tanjung Priok port congestion data and Indonesian bulk freight rates as leading indicators of regional logistics cost pressure.

For Procurement Professionals

- Diversify commodity sourcing away from single-origin dependency on Indonesia where substitutes exist — particularly for palm oil (Malaysia, West Africa) and thermal coal (Australia, Colombia).
- Establish long-term offtake agreements for Indonesian nickel at volumes and prices aligned with long-run market fundamentals, not Supercycle peaks.
- Develop Indonesia-specific supply chain risk frameworks that account for regulatory risk (export bans, processing requirements), weather events, and port infrastructure constraints.
- Prioritize relationships with Indonesian logistics partners who have visibility into port allocation and vessel scheduling — information asymmetry at Indonesian ports is a significant cost driver.

For Trade Researchers & Students

- Use price-volume decomposition (unit price × volume analysis) on any commodity trade dataset before drawing conclusions about structural growth trends.
- When analyzing bilateral trade dependency, always examine both sides of the ledger — Indonesia-China's high bilateral trade volume looks different when you note that Indonesia runs a surplus in commodities but would run a larger deficit in technology if measured by value-add rather than transaction value.
- Apply the EDA methodology from this report to real UN Comtrade data (comtradeplus.un.org) to validate or challenge the findings presented here with actual rather than modelled figures.

APPENDIX — DATA DICTIONARY & SOURCES

A1. Data Dictionary

Field	Type	Unit	Description
Record_ID	Text	—	Unique record identifier (IDN-0001 to IDN-0264)
Year	Integer	Year	Fiscal year of trade record (2019–2024)
Trade_Type	Cat.	—	Export or Import from Indonesia's perspective
Commodity	Cat.	—	12 commodity groups (6 export, 6 import)
HS_Code	Text	—	Simplified 2-digit Harmonised System code
Trading_Partner	Cat.	—	Country/region of destination or origin
Region	Cat.	—	Geographic region grouping
Trade_Value_USD_M	Decimal	USD M	Bilateral trade value in USD millions
Volume_kMT	Decimal	kMT	Trade volume in thousand metric tonnes
Unit_Price_USD_MT	Decimal	USD/MT	Estimated unit price per metric tonne
Logistics_Mode	Cat.	—	Sea or Air/Sea freight mode

A2· DATA SOURCES & REFERENCES

A2. Data Sources

Source	URL / Reference	Used For
BPS-Statistics Indonesia	bps.go.id	Primary trade statistics, annual commodity-level export/import data
UN Comtrade Plus	comtradeplus.un.org	International merchandise trade data, bilateral flows
World Bank Pink Sheet	worldbank.org/en/research/commodity-markets	Commodity price indices (coal, palm oil, rubber, nickel)
World Bank Logistics Index	lpi.worldbank.org	Logistics Performance Index, port efficiency scores
UNCTAD Trade Statistics	unctadstat.unctad.org	Trade value and volume indices by commodity
Jakarta Globe / Kontan	jakartaglobe.id	Indonesian business media, policy announcements